



Morgan Stanley Global Macro Forum

Decoding the New Fed: What the Fed Said, What Markets Heard

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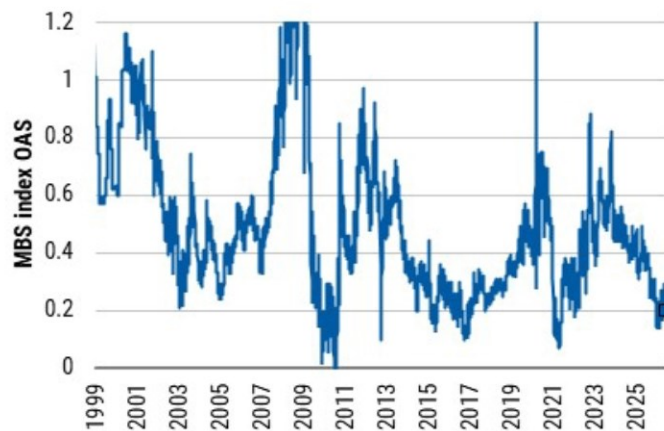
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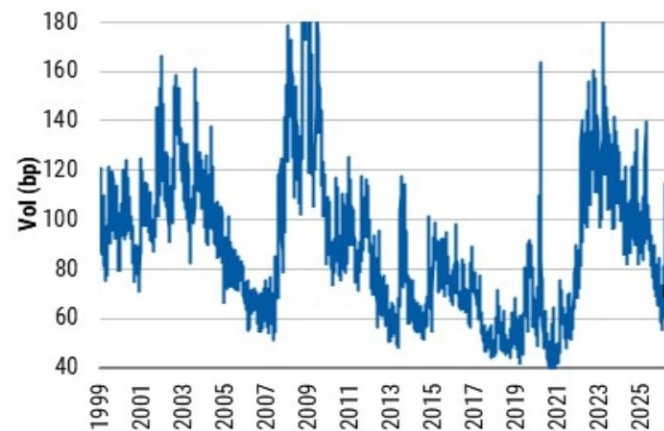
Sell Mortgage Basis vs Rates

The mortgage index is relatively tight, and hasn't traded much tighter outside of QE periods



Source: Morgan Stanley Research, Bloomberg

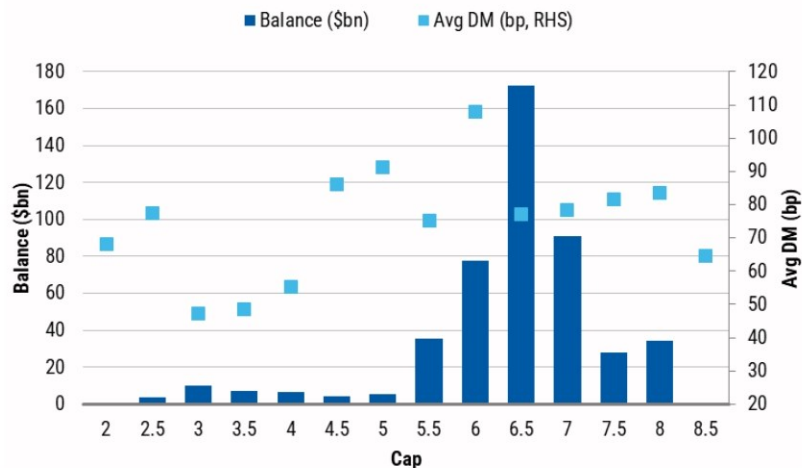
Furthermore, vol is not particularly low and could rise amid lack of forward guidance



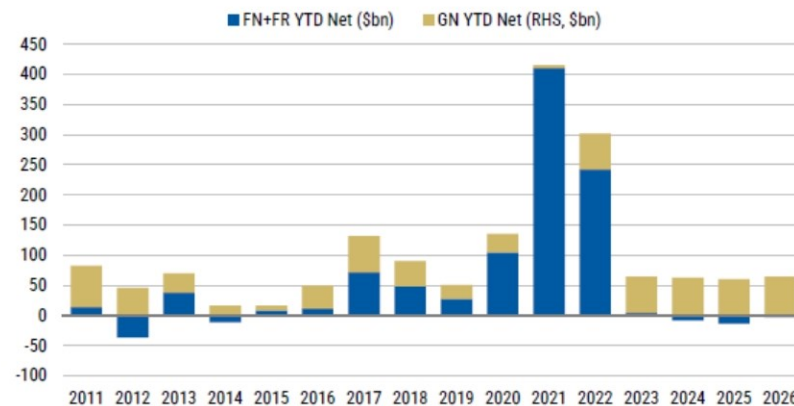
Source: Morgan Stanley Research, Bloomberg

We're Also Concerned About Cap Risk, but Net Supply is Running Low, Which Should Mitigate Too Much Widening

Into higher rates/Fed hiking cap risk may become a concern



Net issuance through May is running at similarly low levels as previous years and may drop at this rate level/securitization rate



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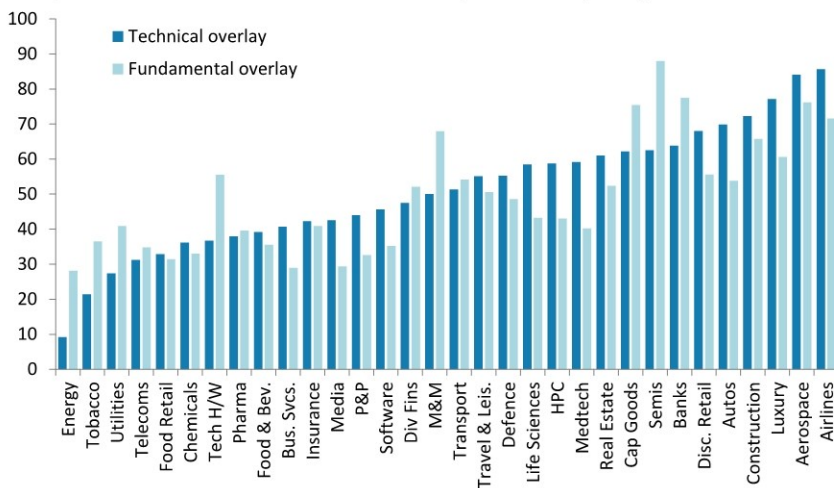
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Fed Policy vs SoH Reopening Trade

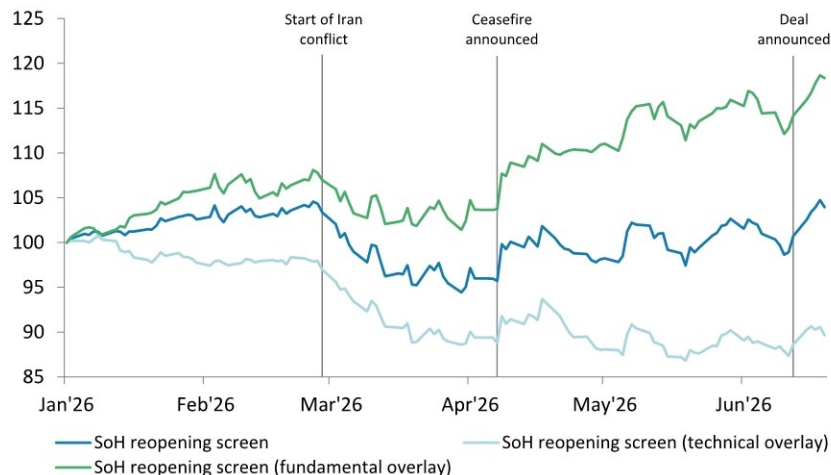
Correlations to SoH reopening align with Fed policy sensitivities

European Sectors: Combined score sensitivity to SoH reopening



Performance of stocks most positively exposed to SoH reopening

SoH Reopening Top 50 Screens: Relative performance vs MSCI Europe YTD (LC)



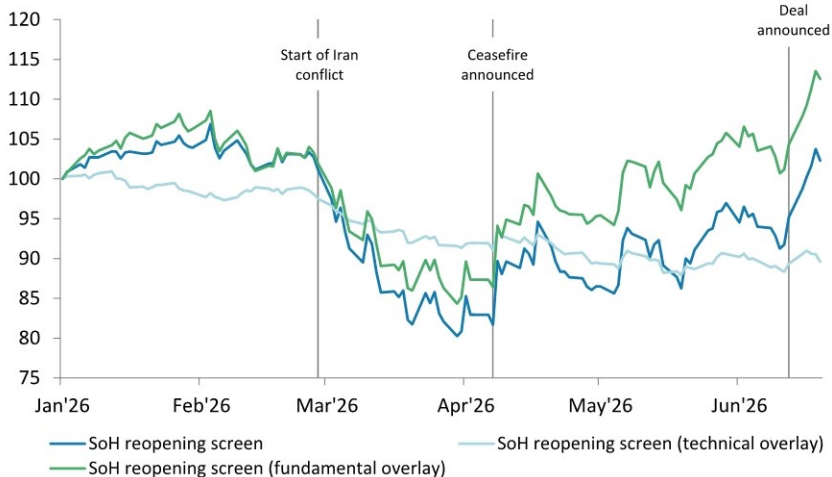
Source: FactSet, LSEG Data & Analytics, Morgan Stanley Research; Note: See [here](#) for methodology.

Source: FactSet, Morgan Stanley Research

Fed Policy vs SoH Reopening Trade

Top vs bottom performance has been more pronounced

SoH Reopening Screens: Top 50 vs bottom 50 relative performance YTD (LC)



Source: FactSet, Morgan Stanley Research

European equities are stuck in a seasonal lull similar to post 'Liberation Day'

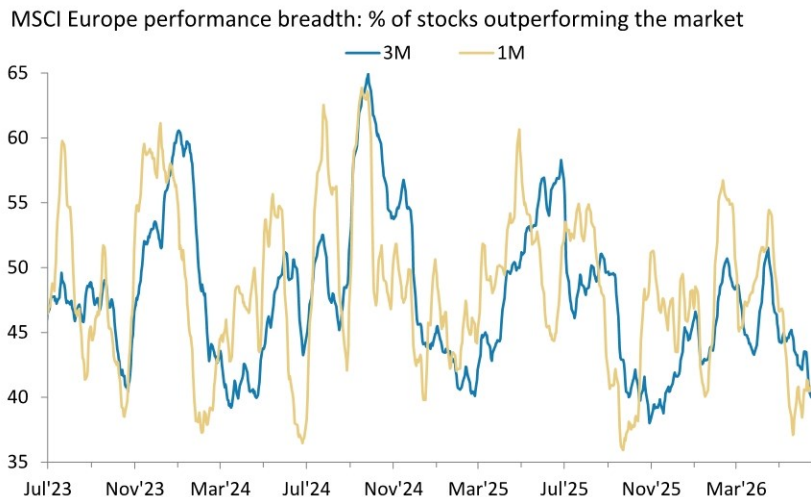
Stoxx 600 Performance Around Market Troughs (rebased, EUR)



Source: LSEG Data & Analytics, Morgan Stanley Research

Fed Policy vs SoH Reopening Trade

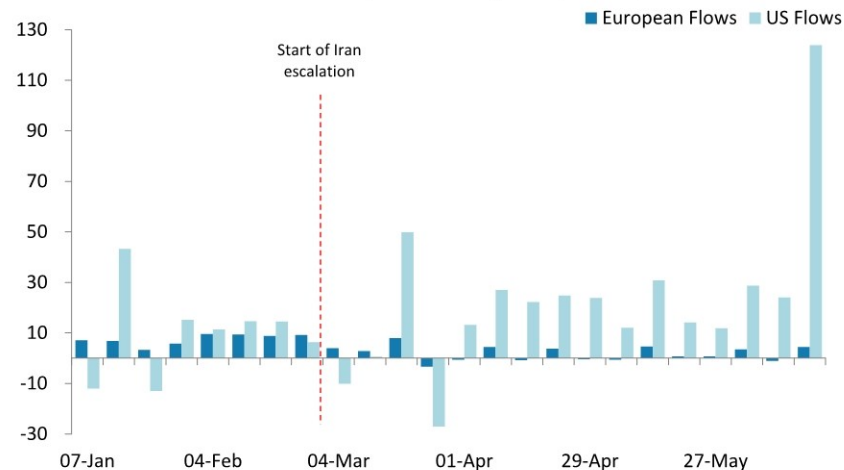
Stock market breadth is recovering at a slow pace...



Source: FactSet, Morgan Stanley Research

... As are flows into European equities

Mutual Fund & ETF Flows into European & US Equities (USDbn)



Source: EPFR, Morgan Stanley Research; Note: The EPFR data and charts displayed here must not be extracted and republished (whether internally or externally). Such use will violate the terms of Morgan Stanley's contract with EPFR which only covers named users.

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Vishwanath Tirupattur
Chief Fixed Income Strategist

Key Takeaways

- **New chair, new Chapter:** Chair Warsh intentionally gave little guidance on the path of monetary policy, noting that reducing “forward guidance” is central to his approach. Even as he highlighted that “[t]he Committee will deliver price stability” the path was not laid out, by design. How different will the Fed be a year from now? Likely very different, in many aspects of the Chair’s communications as well as the size of balance sheet. But when it comes to monetary policy through rates, the change is unlikely to be as stark.
- **Signaling from markets and higher volatility:** The chair’s remarks suggest higher interest rate volatility and greater signaling qualities of macro markets. Despite Chair Warsh explaining his desire to avoid conveying anything that seemed like forward guidance, the market took Warsh’s lack of pushback to current pricing as a reason to price even closer to the dots. We continue to recommend investors stay in SFRZ6M7 curve flatteners given the risk of the Fed following market pricing and a subsequent flattening of the SOFR curve.
- **Tactically underweight mortgages:** Higher levels of longer-term volatility from reduced forward guidance, bear flattening leading to reduce demand from banks and the potential for FX hedging costs staying elevated motivate move to underweight FNCL 5.5s vs rates on a tactical basis. We like trades that are somewhat long vol – short mortgages, long 15s/30s, long agency multifamily vs single family, and long specified pools vs TBA.
- **View from equity markets:** Chair Warsh’s move away from forward guidance and toward greater reliance on market signals will improve the quality and timing of Fed’s decision-making. Ultimately, earnings remain the primary driver of this bull Market. The breadth and resilience of earnings has offset the multiple contraction YTD and will likely soften any further blows from tighter monetary policy or uncertainty due to less Fed guidance and/or market challenges of the new Chair.

Live Trades, Risk, and Rationale

Trade	Entry Date	Rationale	Risks
Short FNCL 5.5s vs Tsy tactically	6/17/2025	Market underpriced for Fed hikes, mortgages perform poorly in that scenario, bank and GSE demand could wane	Mortgage valuations cheap to competing assets, risk assets outperform, Fed cuts
Replace index exposure with multifamily	6/17/2025	Less negative carry way to short MBS, bank demand for multifamily still strong	Multifamily spreads near tight due to positive technicals
Long DW5/FNCL 5.5	6/17/2025	Long vol, 15yr issuance should dry up amid higher rates, 15s reasonable OAS	give liquidity, carry
Buy 250-350k 5.0 vs roll	5/29/2025	Cheap/fair vs TBA OAS likely near wide of possible range given technicals of worsening TBA deliverable	5.0 roll goes special
Buy seasoned 5.0 and 5.s vs roll	5/1/2025	Pick OAS vs TBA, take advantage of pools seasoning vs deliverable	Roll goes special

Trade	Entry Date	Rationale	Risks
Maintain SFRZ6M7 curve flattener	5/22/2026	We think SFRZ6M7 curve flatteners offer a compelling way to express the view that market pricing places too much weight on hawkish Fed tail risks, in response to the oil shock, and the allure of an AI-driven industrial activity renaissance. This relative value expression allows investors to exploit a substantial insurance premium against rate hikes, removes outright duration beta, while not requiring a near-term dovish pivot by the Fed.	The main risk is if fiscal stimulus arrives before the mid-term elections, which would justify currently elevated levels of near-term inflation expectations.

Source: Morgan Stanley Research, Bloomberg

History of recommendations

SFRZ6M7 Flatteners										
Instrument	Identifier	Maturity	Trade	Entry Date	Entry Level	Exit Date	Exit Level	Target/ Objective	Stop/Re- assess	Size of Trade or Unit/Notional
SFRZ6	SFRZ6 Comb Comdty		SFRZ6M7 Flatteners	19-Jun-2026						
SFRM7	SFRM7 COMB COMDTY		SFRZ6M7 Flatteners	19-Jun-2026						

Source: Morgan Stanley Research

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Equal-weight/Hold	1571	43%	369	40%	23%	723	44%
Not-Rated/Hold	3	0%	0	0%	0%	1	0%
Underweight/Sell	551	15%	86	9%	16%	201	12%
Total	3,667		920			1632	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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